

Income Tax Return Package — Federal Form 1040 & DC Form D-40 — Tax Year 2025

DRAFT — SELF-PREPARED — NOT YET FILED

Taxpayer: **Niamh A. Okonkwo-Bauer** (SSN XXX-XX-4413) Spouse: **Stefan R. Okonkwo-Bauer** (SSN XXX-XX-9067)

Filing status: **Married filing jointly** | Home address: 1820 14th Street NW, Unit 612, Washington, DC 20009

Dependents: Adaeze N. Okonkwo-Bauer (SSN XXX-XX-2208, Daughter); Lukas T. Okonkwo-Bauer (SSN XXX-XX-7751, Son) — both qualify for the child tax credit.

Forms and schedules in this return

Form / Schedule	Title	Status
Form 1040	U.S. Individual Income Tax Return	Included
Schedule 1	Additional Income and Adjustments to Income	Included
Schedule 2	Additional Taxes	Included
Schedule 3	Additional Credits and Payments	Included
Schedule A	Itemized Deductions	Included
Schedule B	Interest and Ordinary Dividends	Included
Schedule D / Form 8949	Capital Gains and Losses	Included
Form 8960	Net Investment Income Tax	Included
Form 2441	Child and Dependent Care Expenses	Included
Schedule 8812	Credits for Qualifying Children	Included
Qualified Dividends and Capital Gain Tax Worksheet	Line 16 computation	Included

This return was prepared by the taxpayers using consumer tax-preparation software based on the source documents on hand (Forms W-2, the consolidated 1099, Form 1098 and the property tax statement, and Forms 1098-E). It reflects the figures as entered and has not been reviewed by a tax professional.

Form 1040 (page 1) — Income and Adjusted Gross Income

1a	Total amount from Form(s) W-2, box 1	\$368,270.00
1z	Total wages (sum of lines 1a–1h)	\$368,270.00
2a	Tax-exempt interest	\$1,840.00
2b	Taxable interest (Schedule B)	\$3,180.00
3a	Qualified dividends	\$7,860.00
3b	Ordinary dividends (Schedule B)	\$9,420.00
4b	IRA distributions — taxable amount	\$0.00
5b	Pensions and annuities — taxable amount	\$0.00
7	Capital gain or (loss) (Schedule D)	\$14,500.00
8	Additional income from Schedule 1, line 10	\$0.00
9	Total income (add lines 1z, 2b, 3b, 4b, 5b, 7, and 8)	\$395,370.00
10	Adjustments to income from Schedule 1, line 25	\$2,500.00
11	Adjusted gross income (subtract line 10 from line 9)	\$392,870.00
12	Itemized deductions (Schedule A)	\$71,390.45
13	Qualified business income deduction (Form 8995)	\$0.00
14	Add lines 12 and 13	\$71,390.45
15	Taxable income (subtract line 14 from line 11)	\$321,479.55

Form 1040 (page 2) — Tax, Credits, and Payments

16	Tax (from Qualified Dividends and Capital Gain Tax Worksheet)	\$60,836.69
17	Amount from Schedule 2, line 3	\$0.00
18	Add lines 16 and 17	\$60,836.69
19	Child tax credit/credit for other dependents (Schedule 8812)	\$4,400.00
20	Amount from Schedule 3, line 8	\$1,200.00
21	Add lines 19 and 20	\$5,600.00
22	Subtract line 21 from line 18	\$55,236.69
23	Other taxes, including self-employment tax, from Schedule 2, line 21	\$1,029.80
24	Total tax (add lines 22 and 23)	\$56,266.49
25a	Federal income tax withheld from Form(s) W-2	\$57,600.00
25d	Total withholding	\$57,600.00
26	2025 estimated tax payments	\$0.00
33	Total payments	\$57,600.00
34	Overpayment (line 33 more than line 24)	\$1,333.51
35a	Amount to be refunded to you	\$1,333.51
37	Amount you owe	\$0.00

Signature: taxpayers' joint return. Prepared by taxpayer. Paid preparer: none.

Schedule 1 (Form 1040) — Additional Income and Adjustments to Income

Part I — Additional Income		
1	Taxable refunds of state and local income taxes	\$0.00
3	Business income or (loss) (Schedule C)	\$0.00
5	Rental real estate, royalties, partnerships, S corps (Schedule E)	\$0.00
7	Unemployment compensation	\$0.00
9	Total other income	\$0.00
10	Total additional income (to Form 1040, line 8)	\$0.00
Part II — Adjustments to Income		
20	IRA deduction	\$0.00
21	Student loan interest deduction	\$2,500.00
24	Other adjustments	\$0.00
25	Total adjustments to income (to Form 1040, line 10)	\$2,500.00

Schedule 2 (Form 1040) — Additional Taxes

Part I — Tax		
1	Alternative minimum tax (Form 6251)	\$0.00
3	Add lines 1 and 2 (to Form 1040, line 17)	\$0.00
Part II — Other Taxes		
9	Household employment taxes (Schedule H)	
11	Additional Medicare Tax (Form 8959)	
12	Net investment income tax (Form 8960)	\$1,029.80

21	Total other taxes (to Form 1040, line 23)	\$1,029.80
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Schedule 3 (Form 1040) — Additional Credits and Payments

Part I — Nonrefundable Credits		
1	Foreign tax credit (Form 1116)	\$0.00
6f	Child and dependent care expenses (Form 2441, line 11)	\$1,200.00
8	Total other nonrefundable credits (to Form 1040, line 20)	\$1,200.00
Part II — Other Payments and Refundable Credits		
13	Total other payments or refundable credits	\$0.00

Schedule A (Form 1040) — Itemized Deductions

Taxes You Paid		
5a	State and local income taxes (or general sales taxes)	\$28,102.80
5b	State and local real estate taxes	\$8,266.68
5c	State and local personal property taxes	\$0.00
5d	Add lines 5a through 5c	\$36,369.48
5e	Smaller of line 5d or \$40,000 (\$20,000 MFS)	\$36,369.48
Interest You Paid		
8a	Home mortgage interest and points (Form 1098)	\$28,820.97
8e	Add lines 8a through 8c	\$28,820.97
Gifts to Charity		
11	Gifts by cash or check	\$6,200.00
14	Add lines 11 through 13	\$6,200.00
17	Total itemized deductions (to Form 1040, line 12)	\$71,390.45

Total itemized deductions exceed the married-filing-jointly standard deduction of \$31,500, so itemizing is used.

Schedule B (Form 1040) — Interest and Ordinary Dividends

Part I — Interest		
1	Meridian Brokerage Services LLC — interest	\$3,180.00
2	Total interest	\$3,180.00
4	Taxable interest (to Form 1040, line 2b)	\$3,180.00
Part II — Ordinary Dividends		
5	Meridian Brokerage Services LLC — ordinary dividends	\$9,420.00
6	Total ordinary dividends (to Form 1040, line 3b)	\$9,420.00
Part III — Foreign Accounts and Trusts		
7a	At any time during 2025, did you have a financial interest in or signature authority over a financial account in a foreign country? No	

Schedule D (Form 1040) — Capital Gains and Losses

Part II — Long-Term Capital Gains and Losses		
8b	Totals for long-term transactions reported on Form 8949 with Box D checked (covered)	\$44,320.00

9	Totals for long-term transactions with Box E checked (noncovered)	\$4,180.00
15	Net long-term capital gain or (loss)	\$14,500.00
16	Net capital gain — combine lines 7 and 15 (to Form 1040, line 7)	\$14,500.00
17	Are lines 15 and 16 both gains? Yes — use the Qualified Dividends and Capital Gain Tax Worksheet	

Form 8949 — Sales and Other Dispositions of Capital Assets (Part II, Long-Term)

Description (1a)	Acquired (1b)	Sold (1c)	Proceeds (1d)	Cost basis (1e)	Code (1f)	Adj (1g)	Gain/(loss) (1h)
VANGUARD TOTAL STOCK MKT ETF (VTI)	03/14/2019	05/22/2025	11,860.00	7,980.00			3,880.00
APPLE INC (AAPL)	08/02/2018	06/18/2025	10,675.00	3,640.00			7,035.00
ISHARES CORE S&P; 500 ETF (IVV)	11/30/2020	09/09/2025	10,985.00	7,960.00			3,025.00
MICROSOFT CORP (MSFT)	01/22/2021	10/02/2025	5,160.00	3,995.00			1,165.00
BERKSHIRE HATHAWAY CL B (BRK.B)	05/15/2017	11/14/2025	4,180.00	2,790.00	B		1,390.00
SCHWAB US DIVIDEND ETF (SCHD)	02/08/2022	12/03/2025	5,640.00	7,635.00			(1,995.00)
TOTALS			48,500.00	34,000.00			14,500.00

Box D = long-term covered (basis reported to the IRS). Box E = long-term noncovered (basis not reported to the IRS).

Form 8960 — Net Investment Income Tax

1	Taxable interest	\$3,180.00
2	Dividends	\$9,420.00
5a	Net gain from disposition of property	\$14,500.00
8	Total investment income	\$27,100.00
12	Net investment income	\$27,100.00
13	Modified adjusted gross income	\$392,870.00
14	Threshold based on filing status (MFJ)	\$250,000.00
15	Subtract line 14 from line 13	\$142,870.00
16	Smaller of line 12 or line 15	\$27,100.00
17	Net investment income tax (line 16 × 3.8%) — to Schedule 2, line 12	\$1,029.80

Tax-exempt interest is not investment income for this purpose and is excluded.

Form 2441 — Child and Dependent Care Expenses

Part I — Persons or Organizations Who Provided the Care	
1	Care provider: Marisol del Carmen Carrasco-Vega
	Address: 3914 Kennedy Street NW, Washington, DC 20011
	Identifying number (SSN): XXX-XX-3340
	Amount paid in 2025:
	\$50,400.00
Part II — Credit for Child and Dependent Care Expenses	
2	Qualifying persons: Adaeze N. Okonkwo-Bauer; Lukas T. Okonkwo-Bauer
3	Qualified expenses incurred and paid (limited to \$6,000 for two or more)
4	Taxpayer's earned income
5	Spouse's earned income
6	Smallest of line 3, 4, or 5
8	Decimal amount (AGI over \$43,000)

9	Multiply line 6 by line 8	\$1,200.00
11	Credit for child and dependent care expenses (to Schedule 3, line 6f)	\$1,200.00

Schedule 8812 (Form 1040) — Credits for Qualifying Children and Other Dependents

1	Amount from Form 1040, line 11 (AGI)	\$392,870.00
4	Number of qualifying children under age 17 × \$2,200	2 × \$2,200 = \$4,400.00
5	Qualifying children amount	\$4,400.00
9	Phaseout threshold (MFJ)	\$400,000.00
10	Subtract line 9 from line 3 (AGI); if zero or less, enter -0-	\$0.00
12	Credit before limitation	\$4,400.00
14	Child tax credit (to Form 1040, line 19)	\$4,400.00

Modified AGI does not exceed the \$400,000 married-filing-jointly threshold, so no phaseout applies.

Qualified Dividends and Capital Gain Tax Worksheet — Line 16

1	Taxable income (Form 1040, line 15)	\$321,479.55
2	Qualified dividends	\$7,860.00
3	Net capital gain (Schedule D)	\$14,500.00
4	Add lines 2 and 3 (preferential-rate income)	\$22,360.00
5	Subtract line 4 from line 1 (ordinary-rate income)	\$299,119.55
8	Amount taxed at 0% (up to \$96,700 MFJ)	\$0.00
9	Amount taxed at 15%	\$22,360.00
10	Tax on line 9 amount (15%)	\$3,354.00
11	Tax on ordinary income (line 5) using the Tax Computation Worksheet	\$57,482.69
24	Total tax (to Form 1040, line 16)	\$60,836.69

Tax Computation Worksheet — ordinary income (married filing jointly, 2025)

The ordinary-rate income on line 5 above is taxed using the 2025 married-filing-jointly rate schedule: 10% to \$23,850; 12% to \$96,950; 22% to \$206,700; 24% to \$394,600; 32% to \$501,050; 35% to \$751,600; 37% above. The preferential-rate income on line 4 is taxed at the applicable 0%/15%/20% long-term capital gain rate stacked on top of ordinary-rate income.

Supporting Worksheets

Two-year comparison (informational)

Item	Prior year (2024)	This return (2025)
Total income	\$381,940.00	\$395,370.00
Adjusted gross income	\$379,440.00	\$392,870.00
Itemized deductions	\$58,210.00	\$71,390.45
Taxable income	\$321,230.00	\$321,479.55
Total tax	\$60,118.00	\$56,266.49
Federal withholding	\$55,900.00	\$57,600.00
Refund / (balance due)	(\$4,218.00)	\$1,333.51

2026 estimated tax — quarterly safe-harbor worksheet (Form 1040-ES)

Because adjusted gross income exceeds \$150,000, the prior-year safe harbor for 2026 is 110% of this return's total tax. Estimated quarterly installments are due April 15, June 15, and September 15, 2026, and January 15, 2027.

Quarter	Due date	Estimated installment
Q1 2026	04/15/2026	\$15,473.28
Q2 2026	06/15/2026	\$15,473.28
Q3 2026	09/15/2026	\$15,473.28
Q4 2026	01/15/2027	\$15,473.28

Record-retention note

Keep a copy of this return and all supporting documents (Forms W-2, 1099, 1098, and 1098-E and your records of itemized deductions, charitable contributions, and dependent-care payments) for at least three years from the date the return is filed.

Filing-status and dependents recap

Name	Relationship	SSN	CTC eligible
Niamh A. Okonkwo-Bauer	Taxpayer	XXX-XX-4413	—
Stefan R. Okonkwo-Bauer	Spouse	XXX-XX-9067	—
Adaeze N. Okonkwo-Bauer	Daughter	XXX-XX-2208	Yes
Lukas T. Okonkwo-Bauer	Son	XXX-XX-7751	Yes

Itemized Deduction Detail Worksheet (Schedule A support)

Gifts to charity — itemized list

Donee organization	Type	Amount
Capital Area Food Bank	Cash / check	\$2,500.00
Georgetown University Law Center Annual Fund	Cash / check	\$2,000.00
St. Augustine's Episcopal Church	Cash / check	\$1,200.00
DC Public Library Foundation	Cash / check	\$500.00
Total gifts by cash or check (Schedule A, line 11)		\$6,200.00

State and local taxes paid

Component	Source	Amount
DC income tax withheld — Niamh A. Okonkwo-Bauer	W-2 box 17 (DOJ)	\$13,258.80
DC income tax withheld — Stefan R. Okonkwo-Bauer	W-2 box 17 (Potomac General)	\$14,844.00
State and local income taxes (Schedule A, line 5a)		\$28,102.80
Real estate tax — first-half installment	DC property tax bill	\$4,133.34
Real estate tax — second-half installment	DC property tax bill	\$4,133.34
Real estate taxes (Schedule A, line 5b)		\$8,266.68

Home mortgage interest

Lender	Form	Amount
FirstMeridian Home Lending (loan XXXXXX-0731)	Form 1098	\$28,820.97

State and Local Tax (SALT) Limitation Worksheet — 2025

1	State and local income taxes (Schedule A, line 5a)	\$28,102.80
2	State and local real estate taxes (Schedule A, line 5b)	\$8,266.68

3	State and local personal property taxes	\$0.00
4	Add lines 1 through 3	\$36,369.48
5	Maximum SALT deduction for 2025 (married filing jointly)	\$40,000.00
6	Modified adjusted gross income	\$392,870.00
7	MAGI phaseout threshold (married filing jointly)	\$500,000.00
8	Is line 6 more than line 7? No — no phaseout of the cap applies	
9	Allowable SALT deduction (smaller of line 4 or line 5)	\$36,369.48

For 2025, the SALT deduction limit is \$40,000 (married filing jointly). The limit phases down by 30% of modified adjusted gross income above \$500,000 and is floored at \$10,000 once MAGI reaches \$600,000. Modified AGI here is below the \$500,000 threshold, so the full amount on line 4 is deductible.

Capital Gains — Holding Period and Wash-Sale Review

Security	Acquired	Sold	Holding period	Covered?	Wash sale?	Gain/(loss)
VANGUARD TOTAL STOCK MKT ETF (VTI)	03/14/2019	05/22/2025	Long-term	Yes	None	3,880.00
APPLE INC (AAPL)	08/02/2018	06/18/2025	Long-term	Yes	None	7,035.00
ISHARES CORE S&P; 500 ETF (IVV)	11/30/2020	09/09/2025	Long-term	Yes	None	3,025.00
MICROSOFT CORP (MSFT)	01/22/2021	10/02/2025	Long-term	Yes	None	1,165.00
BERKSHIRE HATHAWAY CL B (BRK.B)	05/15/2017	11/14/2025	Long-term	No	None	1,390.00
SCHWAB US DIVIDEND ETF (SCHD)	02/08/2022	12/03/2025	Long-term	Yes	None	(1,995.00)
Net long-term capital gain						14,500.00

All six dispositions were held more than one year and are therefore long-term. No security sold at a loss was repurchased within 30 days before or after the sale, so no wash-sale adjustment applies. Cost basis for covered lots is as reported by the broker on Form 1099-B; the single noncovered lot's basis is taken from the taxpayer's own acquisition records.

Federal Tax Payments Record and Filing Checklist

Federal income tax withheld

Source	Form	Federal income tax withheld
U.S. Department of Justice	W-2 box 2	\$33,049.92
Potomac General Health System	W-2 box 2	\$24,550.08
2025 estimated tax payments	Form 1040-ES	\$0.00
Total payments (Form 1040, line 33)		\$57,600.00

Pre-filing checklist

- Confirm both Forms W-2 are entered, including box 12 code D and box 14 amounts.
- Confirm the consolidated Form 1099 interest, dividends, and 1099-B proceeds and basis are entered.
- Confirm Form 1098 mortgage interest and the real estate tax bill are entered on Schedule A.
- Confirm Forms 1098-E student loan interest are entered (subject to income phaseout).
- Confirm dependents and care-provider information on Form 2441.
- Review whether any additional taxes or schedules apply to this household before filing.
- Sign and date the return; retain a complete copy with all source documents.

How Your Tax Was Figured — Instructions Excerpt

Taxable income and the tax tables

Your taxable income on Form 1040, line 15, determines your tax on line 16. Because this return includes qualified dividends and net long-term capital gain, the tax on line 16 is figured using the Qualified Dividends and Capital Gain Tax Worksheet rather than the tax

tables. That worksheet separates income taxed at ordinary rates from income taxed at the preferential 0%, 15%, or 20% long-term capital gain rates, then adds the two results.

Ordinary income brackets (2025, married filing jointly)

Taxable income over	But not over	Rate
\$0	\$23,850	10%
\$23,850	\$96,950	12%
\$96,950	\$206,700	22%
\$206,700	\$394,600	24%
\$394,600	\$501,050	32%
\$501,050	\$751,600	35%
\$751,600	—	37%

Preferential rates on qualified dividends and net long-term capital gain (2025, MFJ)

0% to the extent taxable income is at or below \$96,700; 15% from \$96,700 to \$553,850; and 20% above \$553,850. These amounts stack on top of ordinary-rate income when determining the rate that applies.

Rounding

Amounts on this return are shown to the nearest cent. The IRS permits whole-dollar rounding; either method is acceptable as long as it is used consistently.

Glossary

Adjusted gross income (AGI)	Total income minus adjustments (Schedule 1, Part II).
Itemized deductions	Allowable personal deductions on Schedule A, used when they exceed the standard deduction.
Modified AGI (MAGI)	AGI adjusted for certain items; used for the net investment income tax and various phaseouts.
Qualified dividends	Dividends meeting holding-period rules, taxed at long-term capital gain rates.

Filing Instructions

Filing status. This return is filed as married filing jointly. Both spouses must sign and date the return. If filing electronically, both spouses authenticate with their prior-year self-select PIN or adjusted gross income.

Where and when to file. Calendar-year individual returns are generally due April 15. If you cannot file by the due date, you may request an automatic extension of time to file; an extension of time to file is not an extension of time to pay.

Paying a balance due. If the return shows a balance due, pay by the due date to avoid interest and penalties. Payment options include electronic funds withdrawal, IRS Direct Pay, the Electronic Federal Tax Payment System, debit or credit card, or check with a payment voucher.

Receiving a refund. If the return shows an overpayment, you may have it refunded by direct deposit, applied to next year's estimated tax, or split among accounts. Direct deposit is the fastest method.

Recordkeeping. Keep a signed copy of the return and all supporting documents — Forms W-2, 1099, 1098, and 1098-E, and records of itemized deductions, charitable gifts, and dependent-care payments — for at least three years from the date the return is filed.

Estimated tax for next year. Because adjusted gross income exceeds \$150,000, the safe harbor for next year is generally 110% of this year's total tax. Consider making quarterly estimated payments if withholding will not cover next year's liability.

Schedule A — Itemized Deduction Instructions (Excerpt)

Taxes you paid (line 5). You can deduct state and local income taxes (or general sales taxes) plus state and local real estate and personal property taxes. The total deduction for these taxes is limited; enter the smaller of the total or the applicable cap on line 5e.

State and local income taxes (line 5a). Include state and local income taxes withheld from your wages (shown in box 17 of your Forms W-2), estimated tax payments made during the year, and any prior-year balance paid during the year.

Real estate taxes (line 5b). Include taxes paid on real estate you own that was not used for business, based on the assessed value. Do not include amounts placed in escrow until the taxing authority actually applies them, and do not include itemized charges for services.

Home mortgage interest (line 8). You can generally deduct home mortgage interest on acquisition debt used to buy, build, or substantially improve your home, subject to the debt limit. The lender reports the interest received in box 1 of Form 1098.

Gifts to charity (line 11). You can deduct cash contributions to qualified organizations. Keep records such as bank statements or written acknowledgments. A written acknowledgment from the organization is required for any single contribution of \$250 or more.

Total itemized deductions (line 17). Add the amounts in the far-right column. If your total itemized deductions are more than your standard deduction, it generally benefits you to itemize.

Schedule D and Form 8949 — Instructions (Excerpt)

Purpose. Use Form 8949 to report sales and exchanges of capital assets, then summarize the totals on Schedule D. Most transactions reported to you on Form 1099-B are entered on Form 8949.

Short-term vs. long-term. A capital asset held one year or less produces a short-term gain or loss; held more than one year, a long-term gain or loss. Long-term net capital gain is generally taxed at preferential rates.

Covered and noncovered securities. For covered securities the broker reports your cost basis to the IRS; check box D on Form 8949. For noncovered securities the broker reports only proceeds; check box E and supply the basis from your records.

Netting. On Schedule D, net short-term transactions together and long-term transactions together. A net capital loss is deductible against other income up to the annual limit, with any excess carried forward.

Tax on net capital gain. If you have qualified dividends or a net capital gain, your tax is figured using the Qualified Dividends and Capital Gain Tax Worksheet or the Schedule D Tax Worksheet, applying the 0%, 15%, or 20% rates.

Form 8960 — Net Investment Income Tax Instructions (Excerpt)

Who owes the tax. Individuals with modified adjusted gross income above a threshold based on filing status, and who have net investment income, owe an additional 3.8% tax on the smaller of net investment income or the excess of modified adjusted gross income over the threshold.

Investment income included. Taxable interest, dividends, net capital gains, rental and royalty income, and income from passive activities are generally net investment income. Wages and self-employment income are not.

Excluded items. Tax-exempt interest, distributions from qualified retirement plans, and income from a trade or business that is not passive are excluded from net investment income.

Thresholds. The modified adjusted gross income threshold is \$250,000 for married filing jointly, \$125,000 for married filing separately, and \$200,000 for other filers. These thresholds are not indexed for inflation.

Carryover and Computation Worksheets

Capital loss carryover worksheet

Line	Description	Amount
1	Net capital gain (loss) for the year	\$14,500.00
2	Loss limit applied against ordinary income	\$0.00
3	Short-term capital loss carryover to next year	\$0.00
4	Long-term capital loss carryover to next year	\$0.00

Charitable contribution carryover worksheet

Line	Description	Amount
1	Current-year cash contributions	\$6,200.00
2	Adjusted gross income limit (60% of AGI)	\$235,722.00
3	Contributions allowed this year	\$6,200.00
4	Carryover to next year	\$0.00

Alternative minimum tax — quick check

Based on the income and deductions on this return, a preliminary check of the alternative minimum tax indicates that tentative minimum tax does not exceed the regular tax, so no alternative minimum tax is added. This is a preliminary indication only; the full computation is performed on Form 6251 when required.

District of Columbia (D-40) — Informational Estimate Worksheet

This worksheet estimates the District of Columbia resident income tax for planning purposes. It is not the filed DC return.

Line	Description	Amount
1	Federal adjusted gross income	\$392,870.00
2	DC additions / subtractions	\$0.00
3	DC adjusted gross income	\$392,870.00
4	DC itemized deductions (excludes DC income tax)	\$43,287.65
5	DC taxable income	\$349,582.35
6	DC tax (per DC rate schedule, after credits)	\$28,477.37
7	DC income tax withheld (Forms W-2, box 17)	\$28,102.80
8	Estimated DC balance due	\$374.57

The District of Columbia does not allow a deduction for District income taxes on the District return; the DC itemized deduction above therefore reflects mortgage interest, real estate tax, and charitable contributions only. Confirm figures on the filed Form D-40.

Diagnostics and E-File Readiness

Forms completeness. All forms and schedules entered for this return have been included in the package. Review each schedule for accuracy before filing.

Dependent information. Two dependents are claimed; both have valid taxpayer identification numbers entered and qualify for the child tax credit.

Bank information. If requesting direct deposit or electronic funds withdrawal, verify the routing and account numbers before submission.

Signatures. An electronically filed return must be authenticated by both spouses. A paper return must be signed and dated by both spouses.

Prior-year reference. Compare this year's figures to the prior-year return (see the two-year comparison) and investigate any large unexpected change before filing.

Glossary and Record Retention

Adjusted gross income (AGI)	Total income less adjustments to income (Schedule 1, Part II).
Taxable income	AGI less the greater of itemized deductions or the standard deduction, less any qualified business income deduction.
Marginal rate	The rate applied to the last dollar of ordinary taxable income.
Effective rate	Total tax divided by total income; lower than the marginal rate due to graduated brackets and preferential rates.
Withholding	Tax prepaid through amounts withheld from wages and other payments, shown on Forms W-2 and 1099.
Refundable vs. nonrefundable credit	A refundable credit can reduce tax below zero and be refunded; a nonrefundable credit can only reduce tax to zero.

Keep this return and all supporting documents for at least three years from the date the return is filed, or two years from the date the tax was paid, whichever is later. Keep records relating to property (such as cost basis records) until the period of limitations expires for the year in which you dispose of the property.

Instructions for Form 1040 — Selected Topics

Rounding to whole dollars. You may round off cents to whole dollars on your return and schedules. To round, drop amounts under 50 cents and increase amounts from 50 to 99 cents to the next dollar. If you do round, round all amounts. This return shows amounts to the cent for clarity.

Filing status — married filing jointly. You may choose married filing jointly if you are married and both spouses agree to file a joint return; both report worldwide income and both are jointly and severally responsible for the tax. In most cases, filing jointly results in a lower combined tax than filing separately.

Dependents. A qualifying child or qualifying relative may be claimed as a dependent if all tests are met, including relationship, age, residency, and support. Each dependent must have a taxpayer identification number. Claiming a dependent may entitle you to credits such as the child tax credit or the credit for other dependents.

Income. Report all income you received during the year, including wages, interest, dividends, capital gains, and other income. Wages are reported to you on Form W-2; interest, dividends, and broker proceeds are reported on Forms 1099. Some income, such as tax-exempt interest, is reported on the return even though it is not taxed.

Adjustments to income. Certain deductions, called adjustments, are subtracted from total income to arrive at adjusted gross income. These include the deductible part of self-employment tax, contributions to certain retirement accounts, the student loan interest deduction (subject to income limits), and others, and are reported on Schedule 1, Part II.

Standard deduction or itemized deductions. You may subtract either the standard deduction for your filing status or your total itemized deductions, whichever is greater. Itemized deductions are figured on Schedule A and include certain taxes, home mortgage interest, gifts to charity, and other items.

Figuring your tax. Most taxpayers figure their tax using the tax tables or the tax computation worksheet. If you have qualified dividends or net capital gain, you figure your tax using a separate worksheet that applies the preferential capital gain rates.

Credits. Credits reduce your tax. Nonrefundable credits can reduce your tax to zero but not below; refundable credits can reduce your tax below zero and result in a refund. Common credits include the child tax credit, the credit for child and dependent care expenses, and education credits.

Other taxes. In addition to the income tax, you may owe other taxes reported on Schedule 2, such as self-employment tax and the net investment income tax. These are added to your income tax to arrive at total tax.

Payments. Your payments include federal income tax withheld (shown on Forms W-2 and 1099), estimated tax payments, and certain refundable credits. If your payments exceed your total tax, you have an overpayment; if they are less, you have a balance due.

Signing your return. An unsigned return is not considered filed. For a joint return, both spouses must sign. If you pay someone to prepare your return, the preparer must also sign and provide an identifying number; this return was self-prepared.

2025 Tax Rate Schedules (Reference)

Schedule Y-1 — Married filing jointly

If taxable income is over	But not over	The tax is	Plus % of excess over
\$0	\$23,850	\$0.00	10% / \$0
\$23,850	\$96,950	\$2,385.00	12% / \$23,850
\$96,950	\$206,700	\$11,157.00	22% / \$96,950
\$206,700	\$394,600	\$35,302.00	24% / \$206,700
\$394,600	\$501,050	\$80,398.00	32% / \$394,600
\$501,050	\$751,600	\$114,462.00	35% / \$501,050
\$751,600	—	\$202,154.50	37% / \$751,600

Schedule X — Single

If taxable income is over	But not over	The tax is	Plus % of excess over
\$0	\$11,925	\$0.00	10% / \$0
\$11,925	\$48,475	\$1,192.50	12% / \$11,925
\$48,475	\$103,350	\$5,578.50	22% / \$48,475
\$103,350	\$197,300	\$17,651.00	24% / \$103,350

If taxable income is over	But not over	The tax is	Plus % of excess over
\$197,300	\$250,525	\$40,199.00	32% / \$197,300
\$250,525	\$626,350	\$57,231.00	35% / \$250,525
\$626,350	—	\$188,769.75	37% / \$626,350

Schedule Z — Head of household

If taxable income is over	But not over	The tax is	Plus % of excess over
\$0	\$17,000	\$0.00	10% / \$0
\$17,000	\$64,850	\$1,700.00	12% / \$17,000
\$64,850	\$103,350	\$7,442.00	22% / \$64,850
\$103,350	\$197,300	\$15,912.00	24% / \$103,350
\$197,300	\$250,500	\$38,460.00	32% / \$197,300
\$250,500	\$626,350	\$55,484.00	35% / \$250,500
\$626,350	—	\$187,031.50	37% / \$626,350

Standard deduction (2025): single \$15,750; married filing jointly \$31,500; head of household \$23,625. Long-term capital gain and qualified dividend rates: 0% up to \$96,700 (MFJ) of taxable income, 15% to \$553,850, and 20% above.

Complete Return Line Summary

The following transcript lists the principal lines of the return for review.

Form/Line	Description	Amount
1040 1z	Wages	\$368,270.00
1040 2a	Tax-exempt interest	\$1,840.00
1040 2b	Taxable interest	\$3,180.00
1040 3a	Qualified dividends	\$7,860.00
1040 3b	Ordinary dividends	\$9,420.00
1040 7	Capital gain	\$14,500.00
Sch 1 21	Student loan interest deduction	\$2,500.00
1040 10	Adjustments	\$2,500.00
1040 11	Adjusted gross income	\$392,870.00
1040 12	Itemized deductions	\$71,390.45
1040 15	Taxable income	\$321,479.55
1040 16	Tax	\$60,836.69
1040 19	Child tax credit	\$4,400.00
Sch 3 6f	Dependent care credit	\$1,200.00
1040 22	Subtotal after credits	\$55,236.69
Sch 2 12	Net investment income tax	\$1,029.80
1040 23	Other taxes	\$1,029.80
1040 24	Total tax	\$56,266.49
1040 25d	Federal tax withheld	\$57,600.00
1040 33	Total payments	\$57,600.00
1040 34/35a	Overpayment / refund	\$1,333.51

Schedule A — Full Line Detail

Line	Description	Amount
1	Medical and dental expenses	\$0.00

Line	Description	Amount
2	AGI	\$392,870.00
3	7.5% of AGI	\$29,465.25
4	Medical expenses deductible (line 1 minus line 3, not less than 0)	\$0.00
5a	State and local income taxes	\$28,102.80
5b	State and local real estate taxes	\$8,266.68
5c	State and local personal property taxes	\$0.00
5d	Sum of 5a-5c	\$36,369.48
5e	Smaller of 5d or \$40,000	\$36,369.48
6	Other taxes	\$0.00
7	Total taxes	\$36,369.48
8a	Home mortgage interest and points (Form 1098)	\$28,820.97
8e	Total interest	\$28,820.97
9	Investment interest	\$0.00
10	Total interest paid	\$28,820.97
11	Gifts by cash or check	\$6,200.00
12	Gifts other than cash	\$0.00
14	Total gifts to charity	\$6,200.00
15	Casualty and theft losses	\$0.00
16	Other itemized deductions	\$0.00
17	Total itemized deductions	\$71,390.45

Form 2441 Part III and Schedule 8812 Worksheet

Form 2441 — Part III (dependent care benefits)

Line	Description	Amount
12	Dependent care benefits received (W-2 box 10)	\$0.00
14	Forfeited or carried over	\$0.00
15	Combine	\$0.00
26	Excluded benefits	\$0.00
27	Qualified expenses (limited to \$6,000)	\$6,000.00

Schedule 8812 — credit limit worksheet

Line	Description	Amount
1	Qualifying children under 17 × \$2,200	\$4,400.00
3	Modified AGI	\$392,870.00
9	Phaseout threshold (MFJ)	\$400,000.00
10	Excess over threshold	\$0.00
11	Phaseout reduction	\$0.00
12	Child tax credit before tax limit	\$4,400.00
13	Tax liability limit	\$52,000.00
14	Child tax credit allowed	\$4,400.00

Both children are under age 17 and qualify for the child tax credit; modified adjusted gross income is below the married-filing-jointly phaseout threshold, so the full credit of \$2,200 per child is allowed.

Schedule 1, 2, and 3 — Instructions (Excerpt)

Schedule 1 — Additional Income. Use Part I to report income not entered directly on Form 1040, such as taxable refunds, business income, capital gains from Schedule D flow-through, rental and partnership income, and unemployment compensation. The total flows to Form 1040, line 8.

Schedule 1 — Adjustments to Income. Use Part II to report adjustments such as educator expenses, the deductible part of self-employment tax, self-employed retirement and health insurance, the student loan interest deduction, and IRA deductions. The student loan interest deduction is limited to \$2,500 and phases out over a range of modified adjusted gross income; above the top of the range, no deduction is allowed. The total flows to Form 1040, line 10.

Schedule 2 — Part I (Tax). Report the alternative minimum tax from Form 6251 and any excess advance premium tax credit repayment. The total is added to your income tax on Form 1040, line 17.

Schedule 2 — Part II (Other Taxes). Report other taxes that may apply in addition to the income tax, such as self-employment tax and the net investment income tax. The total flows to Form 1040, line 23.

Schedule 3 — Part I (Nonrefundable Credits). Report the foreign tax credit, the credit for child and dependent care expenses (Form 2441), education credits, the retirement savings contributions credit, and others. The total flows to Form 1040, line 20.

Schedule 3 — Part II (Other Payments and Refundable Credits). Report the net premium tax credit, amounts paid with an extension request, excess Social Security tax withheld, and other payments. The total flows to Form 1040, line 31.

District of Columbia — Form D-40 Individual Income Tax Return (Resident)

Taxpayers: Niamh A. Okonkwo-Bauer & Stefan R. Okonkwo-Bauer — Filing status: Married filing jointly — Tax year 2025

Line	Description	Amount
1	Federal adjusted gross income	\$392,870.00
3	Additions to federal AGI	\$0.00
4	Subtractions from federal AGI	\$0.00
5	DC adjusted gross income	\$392,870.00
14	DC itemized deductions (from Calculation G; excludes DC income tax)	\$43,287.65
16	DC taxable income	\$349,582.35
17	DC tax (from tax rate schedule)	\$28,861.37
20	DC low-income credit / other credits	\$0.00
21	Child and dependent care credit (32% of federal credit)	\$384.00
22	Total DC credits	\$384.00
23	Total DC tax (line 17 minus line 22)	\$28,477.37
29	DC income tax withheld (Forms W-2, box 17)	\$28,102.80
30	Estimated payments	\$0.00
38	Balance due with this return	\$374.57

DC Calculation G — Itemized Deductions

Item	Amount
Federal itemized deductions	\$71,390.45
Less: state and local income taxes (not deductible on the DC return)	(\$28,102.80)
DC itemized deductions	\$43,287.65

DC tax rate schedule (2025)

Taxable income over	But not over	Rate
\$0	\$10,000	4.00%
\$10,000	\$40,000	6.00%
\$40,000	\$60,000	6.50%

Taxable income over	But not over	Rate
\$60,000	\$250,000	8.50%
\$250,000	\$500,000	9.25%
\$500,000	\$1,000,000	9.75%
\$1,000,000	—	10.75%

The District of Columbia begins with federal adjusted gross income and does not allow a deduction for District income taxes. The DC child and dependent care credit is 32% of the federal credit. A balance is due with the District return; pay by the due date to avoid DC interest and penalties. This is a draft DC return prepared with the federal return and is subject to the same review.

DC payment voucher (Form D-40P)

Taxpayer	SSN	Tax year	Amount of payment
Niamh A. Okonkwo-Bauer	XXX-XX-4413	2025	\$374.57

2026 Estimated Tax Worksheet and Planning Notes

Line	Description	Amount
1	Expected adjusted gross income for next year	\$398,000.00
4	Expected taxable income	\$326,000.00
7	Expected total tax (federal)	\$57,200.00
12a	Required annual payment (90% of next year)	\$51,480.00
12b	Safe harbor (110% of this year's tax)	\$61,893.14
14a	Smaller of 12a or 12b	\$51,480.00
15	Estimated tax already covered by withholding	\$57,600.00
16	Estimated quarterly payment required	\$0.00

Withholding adequacy. Compare your expected withholding for next year to the smaller of 90% of next year's tax or 110% of this year's tax. If withholding will fall short, increase it by filing a new Form W-4 or make quarterly estimated payments to avoid an underpayment penalty.

Life changes. Major changes — a new job, a change in family size, a home purchase or sale, or a significant change in investment income — can materially change your tax. Review your withholding after any such change.

Recordkeeping for next year. Keep running records of estimated payments, charitable contributions, and any documents that support deductions and credits, so next year's return can be prepared accurately and efficiently.

Form 1040 — Line-by-Line Instructions (Continued)

Line 1 — Wages. Enter the total of all amounts in box 1 of your Forms W-2. If you have wages from more than one employer, add the box 1 amounts together. Wages also include certain other compensation that may not be on a W-2; none applies here.

Lines 2a and 2b — Interest. Enter tax-exempt interest on line 2a and taxable interest on line 2b. If your taxable interest is more than \$1,500, you must also complete Schedule B. Tax-exempt interest is reported for information and may affect other calculations.

Lines 3a and 3b — Dividends. Enter qualified dividends on line 3a and total ordinary dividends on line 3b. Qualified dividends are a subset of ordinary dividends that meet holding-period rules and are taxed at capital gain rates. If ordinary dividends exceed \$1,500, complete Schedule B.

Line 7 — Capital gain or loss. Enter the gain or loss from Schedule D. If you are not required to file Schedule D, you may be able to enter capital gain distributions directly. A net capital gain is generally taxed at preferential rates.

Line 11 — Adjusted gross income. Subtract your total adjustments (Schedule 1, line 25) from your total income. Adjusted gross income is used to determine eligibility for many deductions and credits and is the starting point for several other calculations.

Line 12 — Deductions. Enter the larger of your standard deduction or your itemized deductions from Schedule A. Because the itemized total here exceeds the married-filing-jointly standard deduction, itemizing is used.

Line 16 — Tax. Figure your tax using the tax tables, the tax computation worksheet, or — when you have qualified dividends or net capital gain — the Qualified Dividends and Capital Gain Tax Worksheet, which applies the preferential rates to that portion of income.

Line 19 — Child tax credit. Figure the child tax credit and credit for other dependents on Schedule 8812. The credit is \$2,200 per qualifying child under age 17 and phases out for higher incomes.

Line 24 — Total tax. Add the tax after credits (line 22) and the other taxes (line 23). This is your total tax for the year, against which your payments are compared to determine a refund or balance due.

Lines 25 through 33 — Payments. Enter federal income tax withheld from Forms W-2 and 1099, estimated tax payments, and any refundable credits. The total is your payments, compared to total tax on the following lines.

Common Filing Errors, Amended Returns, and Audits

Common errors to avoid. Frequent mistakes include math errors, incorrect or missing Social Security numbers, choosing the wrong filing status, omitting income reported on a Form 1099, claiming a deduction or credit for which you do not qualify, and failing to sign the return. Review each entry against your source documents before filing.

Math and consistency checks. Confirm that wages, interest, dividends, and proceeds match your Forms W-2 and 1099; that withholding totals tie to those forms; and that totals carry correctly from each schedule to Form 1040. Electronic filing software performs many of these checks automatically.

Amended returns. If you discover an error after filing, you can correct it by filing Form 1040-X, Amended U.S. Individual Income Tax Return. Generally, you must file within three years after the date you filed the original return or within two years after the date you paid the tax, whichever is later.

If you are audited. If your return is selected for examination, you will be asked to support items on your return with documentation. Keep organized records of income, deductions, and credits. Most examinations are resolved by correspondence.

Accuracy-related penalties. An accuracy-related penalty may apply if you substantially understate your tax or are negligent in preparing your return. Reporting all income and claiming only deductions and credits you can support helps avoid these penalties.

Refund Tracking, Payments, and Identity Protection

Tracking your refund. If you are due a refund, you can check its status using the IRS 'Where's My Refund?' tool, generally within 24 hours after electronic filing. Direct deposit is the fastest way to receive a refund.

Making a payment. If you owe, you can pay electronically from a bank account at no charge, by debit or credit card for a fee, or by check with a payment voucher. You can also set up a payment plan if you cannot pay in full.

Identity protection. Protect your Social Security number and be alert to tax-related identity theft. You may obtain an Identity Protection PIN from the IRS to help prevent someone else from filing a return using your number.

Estimated payments. If you expect to owe at least \$1,000 after withholding and credits, you generally must make quarterly estimated payments to avoid an underpayment penalty. Higher-income taxpayers must pay the larger safe-harbor amount.

Detailed income reconciliation

Source document	Reported amount	Return line
U.S. Department of Justice — Form W-2 box 1	\$174,810.00	1z (part)
Potomac General Health System — Form W-2 box 1	\$193,460.00	1z (part)
Total wages	=\$368,270.00	1z
Meridian Brokerage Services LLC — 1099-INT box 1	\$3,180.00	2b
Meridian Brokerage Services LLC — 1099-INT box 8	\$1,840.00	2a
Meridian Brokerage Services LLC — 1099-DIV box 1a	\$9,420.00	3b
Meridian Brokerage Services LLC — 1099-B net gain	\$14,500.00	7
Total income	=\$395,370.00	9

What's New for 2025

Standard deduction increased. The standard deduction rose to \$31,500 for married couples filing jointly, \$15,750 for single filers, and \$23,625 for heads of household. Most taxpayers who do not itemize will use the higher standard deduction.

Child tax credit. The maximum child tax credit is \$2,200 per qualifying child under age 17 and is indexed for inflation. The credit phases out for modified adjusted gross income above \$400,000 for joint filers and \$200,000 for others.

State and local tax deduction. The limit on the itemized deduction for state and local taxes increased to \$40,000 for most filers (\$20,000 if married filing separately). The higher limit phases down for modified adjusted gross income above \$500,000 and is floored at \$10,000 once income reaches \$600,000.

Capital gain rate brackets. The income thresholds for the 0%, 15%, and 20% long-term capital gain and qualified dividend rates were adjusted for inflation. For joint filers, the 0% rate applies up to \$96,700 of taxable income and the 20% rate begins above \$553,850.

Retirement contribution limits. The elective deferral limit for 401(k)-type plans, including the Thrift Savings Plan, is \$23,500, with an additional catch-up contribution available for those age 50 and over.

Inflation adjustments. The tax brackets, the alternative minimum tax exemption, and many other amounts were adjusted for inflation. Review the current figures when preparing your return.

Your Rights as a Taxpayer

The Taxpayer Bill of Rights groups the rights found in the tax code into ten fundamental rights:

- The right to be informed.
- The right to quality service.
- The right to pay no more than the correct amount of tax.
- The right to challenge the position of the tax authority and be heard.
- The right to appeal a decision in an independent forum.
- The right to finality.
- The right to privacy.
- The right to confidentiality.
- The right to retain representation.
- The right to a fair and just tax system.

These rights include receiving clear explanations of the law and of decisions about your tax accounts, prompt and courteous assistance, and the right to know the maximum amount of time you have to challenge a position as well as the maximum amount of time the tax authority has to audit a particular tax year or collect a tax debt.

Disclosure, Privacy Act, and Paperwork Reduction Act Notice

We ask for the information on this return to carry out the internal revenue laws of the United States. We need it to figure and collect the right amount of tax. Our legal right to ask for information is contained in the Internal Revenue Code. Our authority to ask for information is to ensure that you are complying with these laws and to allow us to figure and collect the right amount of tax.

You are required to give us the information if you are subject to the tax. We need it to ensure that you are complying with these laws and to allow us to figure and collect the right amount of tax. You are not required to provide the information requested on a form that is subject to the Paperwork Reduction Act unless the form displays a valid control number.

Generally, tax returns and return information are confidential, as required by the Internal Revenue Code. However, we may give the information to the Department of Justice for civil and criminal litigation, and to cities, states, the District of Columbia, and U.S. commonwealths and possessions to carry out their tax laws. We may also disclose this information to other countries under a tax treaty, to federal and state agencies to enforce federal nontax criminal laws, or to federal law enforcement and intelligence agencies to combat terrorism.

Please keep this notice with your records. It may help you if we ask you for other information. If you have questions about the rules for filing and giving information, please call or visit any office of the tax authority. The time needed to complete and file this return will vary depending on individual circumstances; the estimated average time includes recordkeeping, learning about the law and the form, and preparing and sending the return.

Extended glossary of tax terms

Capital asset	Most property you own for personal use or investment, such as stocks and bonds; gains and losses on its sale are capital.
Cost basis	Your investment in property for tax purposes, used to figure gain or loss on a sale; may be adjusted for various items.
Dependent	A qualifying child or qualifying relative for whom you may claim certain tax benefits.
Exemption amount (AMT)	The amount subtracted from alternative minimum taxable income before applying the AMT rates; it phases out at higher income.

Filing status	Your category for tax purposes — single, married filing jointly, married filing separately, head of household, or qualifying surviving spouse.
Modified adjusted gross income	Adjusted gross income increased by certain items; used for various phaseouts and the net investment income tax.
Qualifying child	A child who meets relationship, age, residency, support, and joint-return tests for purposes of dependency and certain credits.
Safe harbor	A rule that, if followed, avoids a penalty; for estimated tax, paying a specified percentage of the prior or current year's tax.
Withholding allowance	Historically used on Form W-4 to set withholding; the current Form W-4 uses a different method based on income and adjustments.

End of Return Package

This package contains the draft federal Form 1040 and supporting schedules, the District of Columbia Form D-40 estimate, and the worksheets and instruction excerpts used to prepare them. Before filing, review every figure against your source documents — both Forms W-2, the consolidated Form 1099, Form 1098 and the property tax statement, and Forms 1098-E — confirm that all applicable forms and schedules are included, and sign and date the return. Retain a complete signed copy with all supporting documents.

Return result	Amount
Total tax (line 24)	\$56,266.49
Total payments (line 33)	\$57,600.00
Refund (line 35a) / amount owed (line 37)	\$1,333.51

Draft prepared by the taxpayers. Paid preparer: none. Amounts are shown in U.S. dollars.